

slips from the 2019 level. This raises the spectre of a coalition of parties with egoistic leaders primarily focussed on extracting the maximum advantage for themselves, their parties and states—hardly ideal for the twin goals of stability and governance. Unless these non-BJP parties can convey to the electorate, in advance of the polls, that they can come together without squabbling

of the pyramid given the extreme distress faced by these sections since the pandemic. This effectively means redistribution from the segments that have been doing much better—corporates, middle- and high-income citizens and stock market investors. This would seem fair, but the mere idea is anathema to market participants. They scoff at all talk of a universal basic income

taxes directed at the wealthier sections of the population will go up—such as the capital gains tax on equities. With people starving in the villages, why should investors be taxed at a rate much lower than the prevailing income tax rate for the salaried class, or even fixed deposit returns for savers? There are arguments, but mostly specious. It is debatable whether stoking the animal spirit of optimism in stock buyers should take precedence over dousing the animal spirit of hunger in the poor. From all that one hears from political leaders across the spectrum, there appears to be a very fundamental difference between the BJP and the non-BJP parties on what constitutes the appropriate direction of economic policy for a country like India. And herein lies the risk for the market in 2024. It is not a mere change of government that could be at stake, but a total rethink of the blueprint—economic and social.

| 29

At this juncture, the dice is loaded towards the government in power. Yet, the gap in performance between the upper and lower segments of the population is so stark that we could be silently wading into an 'India Shining' kind of moment—where the ruling government remains smugly trapped into believing its narrative of high GDP growth and growing prosperity, while it only serves to feed a seething resentment in larger swathes of the population who cannot see the fruits of that in their own lives. This threat would have been far more potent if the non-BJP parties had their act together. The Congress seems to have bottomed out—to use market parlance—but one swallow does not a summer make. If they manage to win Madhya Pradesh and Rajasthan in winter, the game would truly be on. Stock market investors needn't panic yet, but they shouldn't be too complacent either and take 2024 as a done deal. As Lenny Kravitz sang, and as they say in cricket—it ain't over till it's over. **BT**



ILLUSTRATION BY **RAJ VERMA**

and bickering, investors will eye their prospects with great caution.

The other major factor is that the BJP is seen as a pro-business, pro-investment party with no great sympathy for populist or pro-poor policies. Put differently, it is the Congress and some of the other regional parties which seem far more intent on supporting the lower end

safety net or of higher taxes to raise outlays for social sector schemes, dismissing them as outdated Leftist/populist policies. Hardly a surprise, as selflessness or empathy has never been the hallmark of stock market investors.

In the unlikely event of a change of regime at the centre next year, it is totally conceivable that some